2.4 How Diversification Works?

First Method

Concentration

A portfolio where we hold **small number of stocks but each for a relatively larger amount.**

10 Stocks

10 stocks of equal amount worth Rs. 100

We can build our portfolio by purchasing 10 stocks at Rs 10 each. The portfolio size and total investment in this situation are Rs 100.

Second Method

Diversification

A portfolio where we hold a **large number of stocks but each for a smaller amount.**

25 Stocks

25 stocks worth Rs.100

Rather than purchasing 10 stocks for Rs 10 each, we will purchase 25 stocks for Rs 4 each. The portfolio size and total investment in this situation again are Rs 100.

Note

- Concentrated portfolio means that we are dependent on the performance of 10 firms. Although this may lead to higher returns, it also increases our overall risk as our exposure to each stock is relatively high.
- As retail investors, we will always try to create a diversified portfolio. We will acquire more stocks, for less amount each.
    - With a diversified portfolio investment strategy we will not incur major losses as we are not dependent on a small set of firms.
    - We can expect decent returns over time with this approach taking relatively low risk.